

ECONOMICS PAPER 1

(Mock Test 39)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Irene planned to visit Tokyo in Japan for a week. Before departing, she was informed that a typhoon was likely to hit Tokyo during the planned trip. She considered cancelling the trip. The opportunity cost for Irene to continue going to Tokyo would _____ because _____.
 - A. remain unchanged ... air ticket expenses could not be recovered
 - B. remain unchanged ... this would only decrease the value of her trip to Tokyo
 - C. decrease ... many tourist attractions in the city would close during the typhoon
 - D. increase ... there was a higher chance of her getting injured during the trip

2. Which of the following statements about interest are **CORRECT**?
 - (1) Interest exists in a barter economy.
 - (2) If the price level remains unchanged, interest will not exist.
 - (3) When the interest rate increases, people will reduce their current consumption.
 - (4) Interest is the cost paid by the lender for deferring consumption.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

3. Which of the following statements about a market economy is **CORRECT**?
 - A. This economy mainly uses the price mechanism to tackle the three basic economic problems in economics.
 - B. Income is less evenly distributed than in a command economy.
 - C. Non-price competition does not exist.
 - D. People have private property rights over all resources.

4. Mr. Cheung is an owner of a firm. All owners enjoy limited liability, but they cannot transfer their ownership without the consent of other owners. Which of the following statements about the firm is **CORRECT**?
 - A. The firm can issue shares to the public to raise capital to expand its business.
 - B. The firm is required to disclose its financial information to the public.
 - C. There is no upper limit on the number of owners.
 - D. The firm can sue other firms in the name of the firm.

5. Which of the following statements about private goods is **CORRECT**?
 - A. When someone consumes a private good, the amount available to others must be reduced.
 - B. The price of a private good must be greater than zero.
 - C. An apple is a private good because the cost of producing an additional unit of apples is greater than zero.
 - D. Private goods are goods provided by private enterprises.

6. The following table shows the employment distribution in an economy.

	2020	2024
Primary production	5%	7%
Secondary production	16%	18%
Tertiary production	79%	75%
Overall	100%	100%

Based on the above table, we can conclude that from 2020 to 2024,

- A. the number of workers engaged in primary production and secondary production increased.
 - B. the overall employment rate remained unchanged.
 - C. the relative importance of tertiary production in terms of employment decreased.
 - D. the contribution of tertiary production to gross domestic product (GDP) decreased.
7. Which of the following people has the highest occupational mobility?
- A. a baseball star
 - B. a clerk
 - C. a secondary school teacher
 - D. a registered lift worker
8. Which of the following will reduce the labour supply in Country A?
- A. The number of public holidays is reduced.
 - B. The government has enacted legislation requiring companies to pay overtime to employees who work extra hours.
 - C. The government provides tuition subsidies for university graduates enrolled in full-time master's programmes.
 - D. Other countries tighten immigration applications for Country A's residents.
9. Refer to the following excerpt from a news report about 'The Chief Executive's 2024 Policy Address'.

In the 2024 Policy Address, the Chief Executive noted that Hong Kong ranks among the largest markets in the world for gold import and export by volume, attracting international demand for physical gold storage.

To further support this development, the government plans to promote the establishment of world-class gold storage facilities, providing physical gold storage and delivery for users and investors while driving demand for related financial services such as collateral and borrowing.

Based on the above information, when the government builds gold storage facilities, gold traders in Hong Kong will

- A. enjoy internal economies of scale.
- B. suffer from internal diseconomies of scale.
- C. enjoy external economies of scale.
- D. suffer from external diseconomies of scale.

10. The table below shows the cost-output relationship of a price-taking firm.

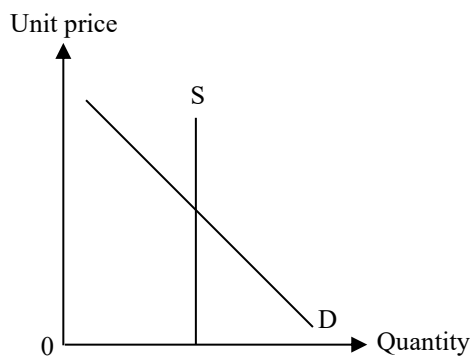
Output (units)	3	4	5	6
Marginal cost (\$)	8	9	10	11
Total fixed cost (\$)	2	2	2	2

Suppose the market price is \$10. Which of the following statements about the firm is **CORRECT**?

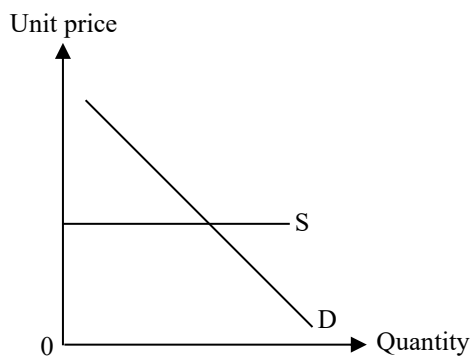
- A. The total cost of 5 units of output is \$29.
 - B. If the market price decreases by \$2, the profit of the firm will decrease by \$7.
 - C. If the marginal cost for each unit of the output increases by \$2, the profit of the firm will decrease by \$3.
 - D. If total fixed cost increases to \$10, the producer surplus of the firm will decrease by \$5.
11. Which of the following is **INCONSISTENT** with the law of demand?
- A. When the government abolishes the airport departure tax charged to each passenger, the average flight distance for departing travellers decreases.
 - B. When the government imposes an *ad valorem* sales tax on each bottle of wine, the quantity of high-quality wine sold decreases.
 - C. When the transportation cost per kilogram of goods increases by 10% due to an increase in fuel price, the average quality of imported white rice people purchased decreases.
 - D. The price and quantity transacted of air conditioners increase during the summer.
12. Anson and Joey watched the same movie in different cinemas. Later, Anson found that Joey paid a lower ticket price. Which of the following are possible reasons for such a price difference?
- (1) The location of the cinema Anson went to is more convenient.
 - (2) The cinema Anson visited has better sound equipment.
 - (3) Joey watched the movie in the morning, while Anson watched the movie in the evening.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
13. Which of the following would most likely cause an increase in total expenditure on air services?
- A. The government reduces the basic allowance for the salaries tax and air services are normal goods.
 - B. The fare for cross-border trains increases.
 - C. More airlines enter the market.
 - D. The price of fuel increases.

14. In which of the following situations will the government imposing a per-unit tax on the producers of a good not affect the producers' total revenue net of tax?

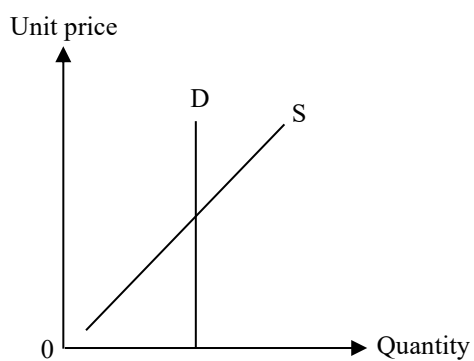
A.



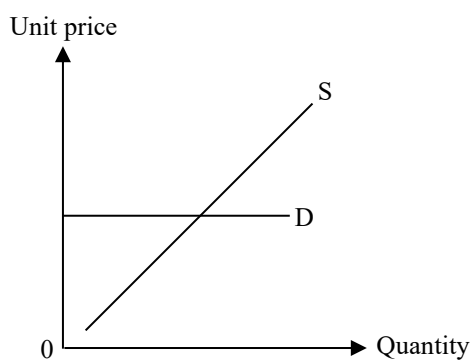
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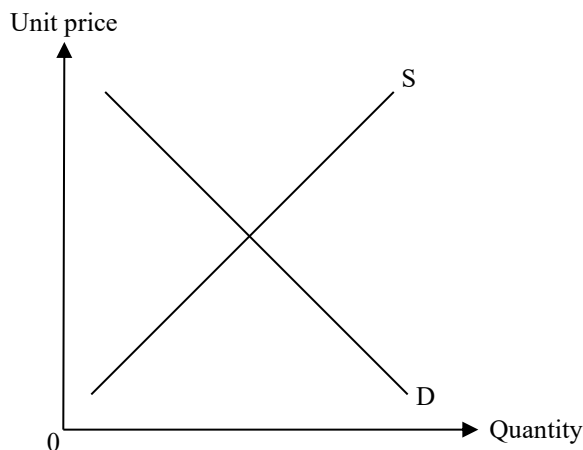
C.



D.



15. Refer to the following demand-supply diagram for good X.



Which of the following statements about good X are **CORRRCT**?

- (1) If the government has imposed an effective price ceiling on good X, an increase in the price of its complements may cause the price ceiling to become ineffective.
 - (2) If the government has imposed an effective price ceiling on good X, an increase in the price of its factor of production must reduce the total revenue of producers.
 - (3) If the government has imposed an effective price floor on good X, an increase in people's preference for good X must increase the marginal benefit of the last unit of good X.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

16. Which of the following statements about a perfectly competitive market are **CORRECT**?

- (1) The market price will not change.
 - (2) The market price is equal to the firms' marginal revenue.
 - (3) There is no price competition in the market.
 - (4) There is no non-price competition in the market.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (4) only
D. (3) and (4) only

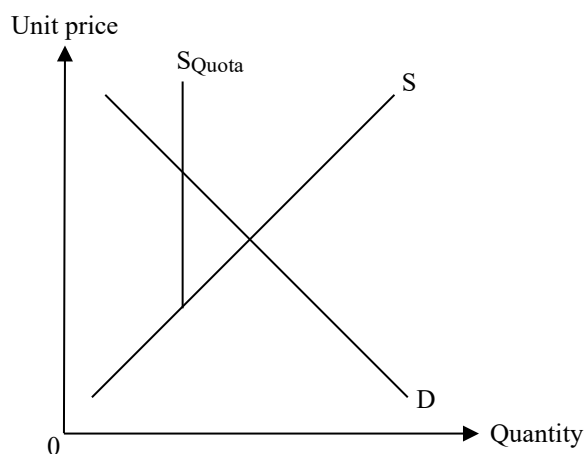
17. Refer to the following table that shows the marginal benefit schedule of a consumer for coffee.

Quantity (units)	Marginal benefit (\$)
1	10
2	8
3	6
4	4
5	2

When the consumer's marginal benefit per unit increases by \$2 and the market price of coffee decreases from \$6 to \$4 due to a good harvest, the consumer surplus will

- A. decrease by \$14.
- B. decrease by \$20.
- C. increase by \$14.
- D. increase by \$20.

18. Refer to the following demand-supply diagram for good X.



If the government lowers the quota limit on good X, which of the following will decrease?

- (1) consumer surplus
 - (2) total variable cost
 - (3) deadweight loss
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

19. Refer to the following demand and supply schedules of good X.

Unit price (\$)	10	11	12	13	14	15
Quantity demanded (units)	10	9	8	7	6	5
Quantity supplied (units)	8	8	8	8	8	8

If the government provides a \$3 per-unit subsidy for the producers of good X,

- (1) there is no deadweight loss caused by the provision of the per-unit subsidy.
 - (2) consumers' total expenditure on good X will remain unchanged.
 - (3) there will be an excess supply in the market for good X.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

20. Refer to the following news excerpt.

A factory in Country A has been found discharging sewage into a river, causing the death of a large number of fish in the downstream area. This is not only destroying the local ecological environment but also seriously affecting the livelihood of fishermen.

Based on the above information, which of the following statements are **CORRECT**?

- (1) If the government imposes fines on the factory that discharges sewage, the divergence between private cost and social cost may decrease.
 - (2) If the government prohibits the factory from discharging any sewage into the river, the total social surplus will increase.
 - (3) If the factory provides compensation to the fishermen in the downstream area, deadweight loss may decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

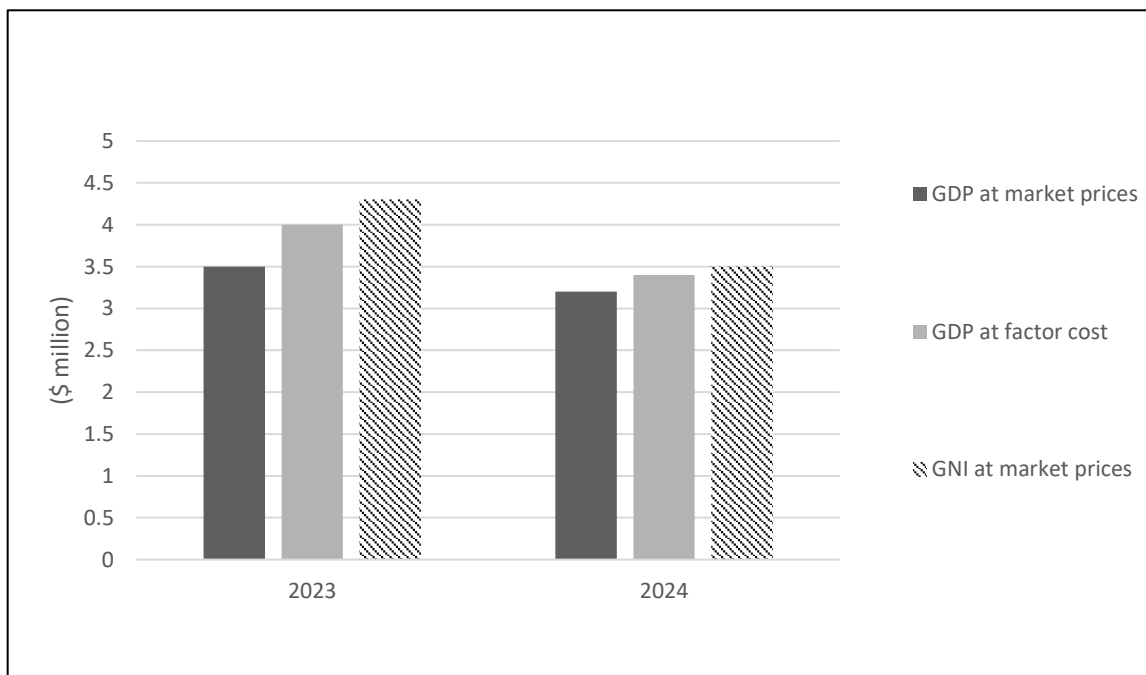
21. The following table shows the average salary by industry and employee category in Country A.

	Average salary	
	Junior staff	Supervisory staff
Construction sector	\$20,000	\$35,000
Financial services sector	\$45,000	\$220,000

Which of the following are possible reasons for the above wage differences?

- (1) The profits earned by firms in the financial services sector are higher than those in the construction sector, allowing them to compete for higher productivity workers.
 - (2) Workers in the financial services sector are protected by labour unions, while those in the construction sector are not.
 - (3) Compared with junior staff, supervisory staff generally have higher academic qualifications.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

22. Which of the following will lower the Gini coefficient based on post-tax post-social transfer monthly household income in Hong Kong?
- increasing the per-unit tax levied on each cigarette
 - lowering the maximum income limit for receiving Comprehensive Social Security Assistance (CSSA)
 - raising the minimum age for receiving Old Age Living Allowance from 65 to 75 years old
 - increasing the amount of the personal disability allowance of the salaries tax
23. In November 2024, the Macao SAR Government announced that it would implement the Wealth Partaking Scheme again the next year and distribute MOP 10,000 to each Macao permanent resident. Which of the following statements about the above scheme is **CORRECT**?
- Since all Macao permanent residents receive the same amount of money, it will not help reduce income inequality.
 - It will not help equalise opportunity.
 - It will increase Macao residents' demand for all goods.
 - The amount distributed will be included in the calculation of government consumption expenditure of Macao.
24. Consider the following data for Country A in 2023 and 2024.



Based on the above information, which of the following statements is **CORRECT**?

- Country A's net factor income from abroad decreased in 2024.
- Country A's net factor income from abroad was negative in both 2023 and 2024.
- Country A's indirect taxes were greater than subsidies in both 2023 and 2024.
- Country A's subsidies decreased while indirect taxes increased between 2023 and 2024.

25. Suppose a closed economy produces computers and rice only. The output in 2023 and 2024 is as follows:

Year	Output of computers (units)	Price of computers (\$)	Output of rice (units)	Price of rice (\$)
2023	12	9	28	6
2024	14	8	26	5

Which of the following statements about the economy are **CORRECT**?

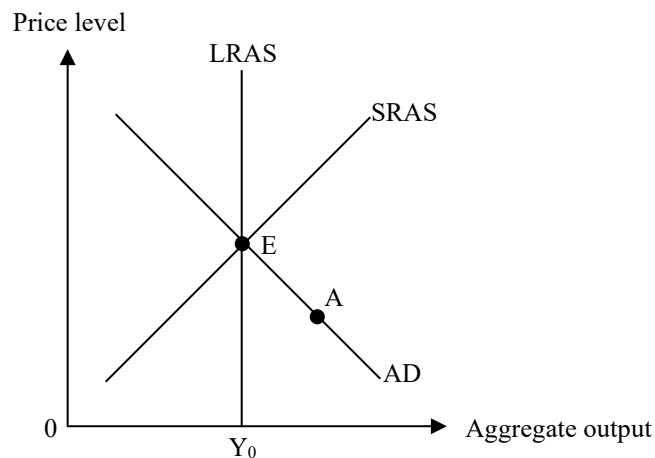
- (1) Nominal GDP in 2024 is higher than that in 2023.
- (2) Real GDP in 2024 is higher than that in 2023.
- (3) The general price level in 2024 is lower than that in 2023.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

26. The per capita nominal GDP of Country A is higher than that of Country B, but people's general living standard is lower than in Country B. Which of the following is a possible reason?

- A. Country A has a larger population than Country B.
- B. The Gini coefficient of Country A is lower than that of Country B.
- C. Country A has more unreported production activities than Country B.
- D. Consumer goods constitute a smaller proportion of Country A's GDP compared to Country B.

27. Refer to the following diagram.



Country A's initial equilibrium point is at E. If the new long run equilibrium point is at A, which of the following is a possible reason for the change in the equilibrium point?

- A. The technology for production improves.
- B. More people choose to retire early.
- C. The price of raw materials decreases.
- D. The government increases transfer payments.

28. Suppose a typhoon hits a country and disrupts the supply of raw materials. Which of the following can offset its effect on the purchasing power of the country's currency in the short run?
- People's desire to save decreases.
 - Banks tend not to lend out excess reserves.
 - Firms expect the price level to increase.
 - More people go to work overseas.

29. Refer to the following conversation.

John: I deposited HK\$500,000 into institution A for two months. In addition, I also deposited HK\$300,000 into institution B for three months.

Cindy: Institution A refused to accept my deposit of HK\$80,000, so I deposited the money into institution B.

Based on the above information, institution A may be a _____, while institution B may be a _____.

- restricted licence bank ... licensed bank
 - restricted licence bank ... deposit-taking company
 - deposit-taking company ... licensed bank
 - deposit-taking company ... restricted licence bank
30. Suppose the money supply data of Hong Kong is as follows:

Components	\$ billion
Total issue of legal tender	10
Legal tender held by all authorised institutions	3
Demand deposits	12
All types of deposits with licensed banks	32
Negotiable certificates of deposit issued by licensed banks (other than those held by authorised institutions)	5
Deposits with restricted licence banks and deposit-taking companies	40
Negotiable certificates of deposit issued by restricted licence banks and deposit-taking companies (other than those held by authorised institutions)	30

The money supply M2 is \$ _____ billion.

- 39
- 44
- 56
- 114

31. Refer to the following balance sheet of a banking system. The excess reserves of the banking system are \$50 million and the public always hold \$20 million in cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	400	Deposits	1,400
Loans	1,000		

If the central bank issues \$200 million of newly printed banknotes, excess reserves will increase by \$50 million. Which of the following statements about the banking system is **CORRECT**?

- A. The money supply will increase by \$580 million.
- B. Loans will increase by \$600 million.
- C. The actual banking multiplier will decrease.
- D. The maximum banking multiplier will decrease.

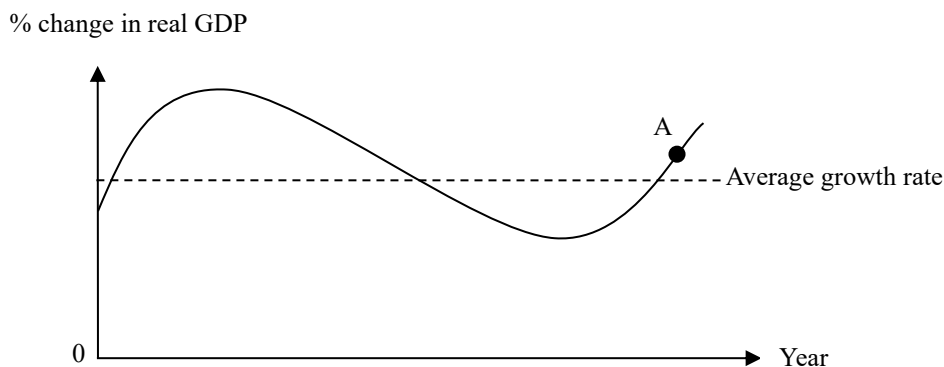
32. Refer to the following table.

Policy I	Policy II	Policy III
● Tighten the requirements for consumers opening a stored value facility account ● Raise the discount rate	● Change civil servants' salary payment from monthly to weekly ● Raise the required reserve ratio	● Introduce a dividend tax ● Sell government bonds in the open market

Which of the policies in the above table will cause the nominal interest rate to rise?

- A. Policy I only
- B. Policy II only
- C. Policy III only
- D. Policy I and Policy III only

33. Refer to the following diagram.



Which of the following phenomena will generally occur at point A?

- (1) The sales of firms are increasing.
 - (2) People's cost of living is increasing.
 - (3) Government revenue from direct tax is increasing.
 - (4) Government expenditure on social welfare is increasing.
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (3) and (4) only

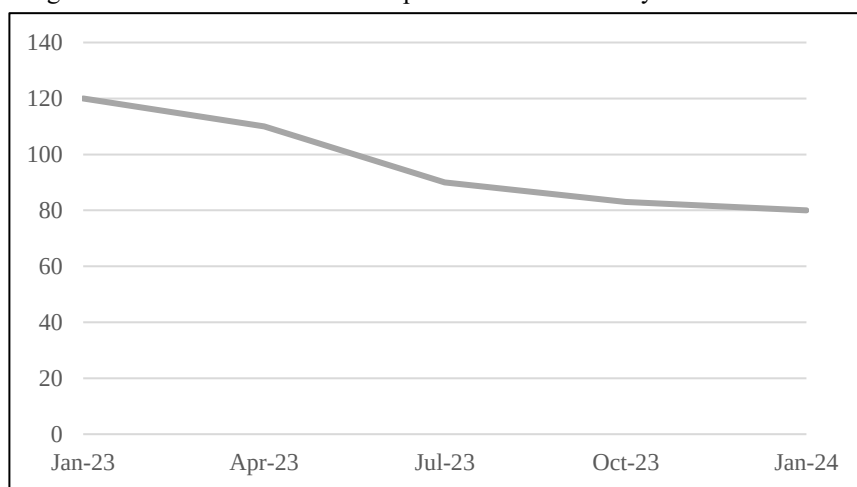
34. Refer to the following information about an economy.

Year	Money supply (\$ million)	Real output (\$ million)
1	550	500
2	600	550

According to the quantity theory of money, we can conclude that

- A. the general price level decreased in year 2.
- B. the velocity of circulation of money increased in year 2.
- C. the inflation rate in year 2 was equal to zero.
- D. the percentage increase in nominal output was greater than the percentage increase in real output in year 2.

35. The diagram below shows the consumer price index for Country A.



Suppose people did not expect any change in the price level in 2023. When the price level changed as above, which of the following people would lose?

- A. holders of fixed rate bonds
- B. tenants who rent residential units at a fixed rent
- C. banks that provide loans to businesses at floating interest rates
- D. people holding cash

36. Which of the following is/are the difference(s) between a progressive tax and a regressive tax?

- A. When taxable income increases, the tax payment will increase under a progressive tax, while the tax payment will decrease under a regressive tax.
- B. A progressive tax is in line with the equity principle of taxation put forward by Adam Smith, while a regressive tax is not.
- C. A progressive salaries tax system can make income distribution more even, while a regressive salaries tax system cannot.
- D. All of the above.

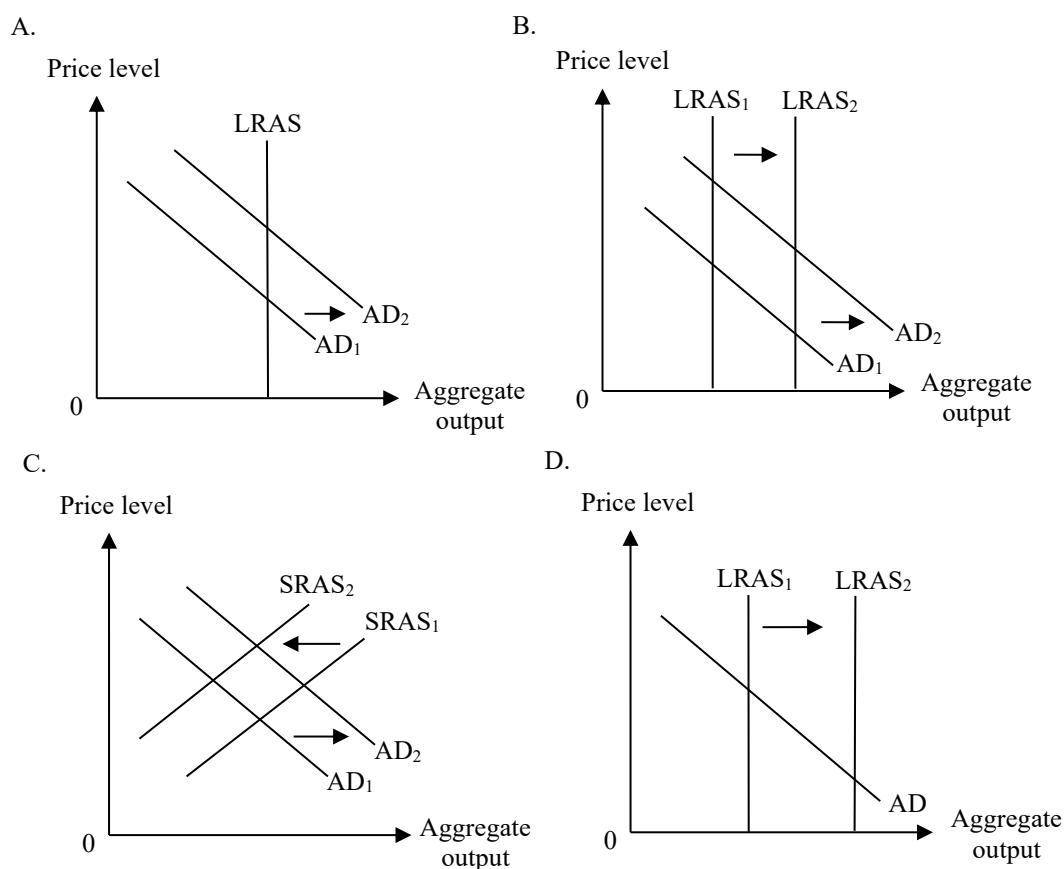
37. Suppose a deflationary (output) gap exists in an economy. Which of the following is a fiscal policy that would help the economy restore to its long run equilibrium?

- A. exempting the first \$5 million of an enterprise's profits from profits tax
- B. having the central bank purchase government bonds from the public
- C. increasing the standard rate of the salaries tax
- D. imposing a per-unit sales tax

38. Which of the following will reduce the effectiveness of an expansionary monetary policy on real output?

- (1) The public's willingness to deposit cash obtained from loans into the banking system decreases.
 - (2) Companies tend to issue bonds rather than borrow from banks to raise capital.
 - (3) Commercial banks are more willing and able to lend out their excess reserves.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

39. In 'The Chief Executive's 2024 Policy Address', the Hong Kong SAR Government announced the expansion of the scale of the Airport City, including the construction of a yacht bay and facilities for the arts industry near Hong Kong International Airport, to promote high-end commercial, tourist and leisure activities. Which of the following best illustrates the effect of the completion of the above construction on the price and output levels?



40. In which of the following situations may the fiscal balance and the trade balance be improved at the same time?

- A. The government chooses to buy more locally produced goods rather than imported goods.
- B. The central bank lowers the discount rate.
- C. The government increases the business registration fee.
- D. The government reduces the unemployment benefits.

41. Which of the following **CANNOT** be negative?

- A. marginal product
- B. profit
- C. actual real rate of return from holding bonds
- D. depreciation

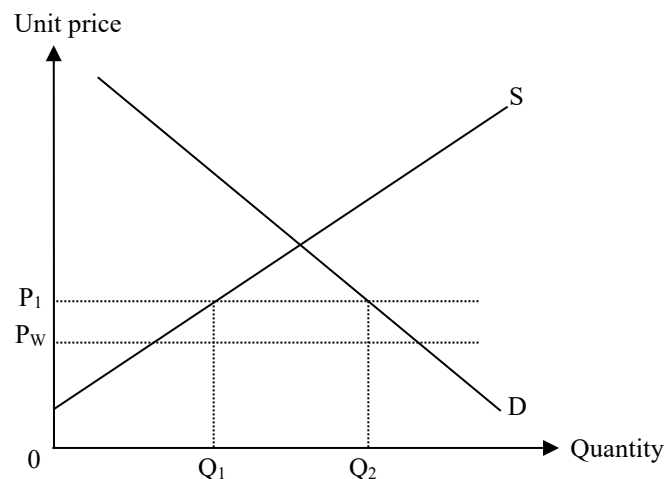
42. The table below shows the data about Country A.

	Good X (units)	AND	Good Y (units)
Total output with no international trade	10	AND	40
Total output with specialisation and international trade	30	AND	0
Total consumption with international trade	20	AND	25

Which of the following statements about Country A is **CORRECT**?

- A. Country A has an absolute advantage in producing good X.
- B. The opportunity cost of producing 1 unit of good X is 4 units of good Y.
- C. The terms of trade is 1 unit of good X = 1.25 units of good Y.
- D. Country A's total gain from exports is 5 units of good Y.

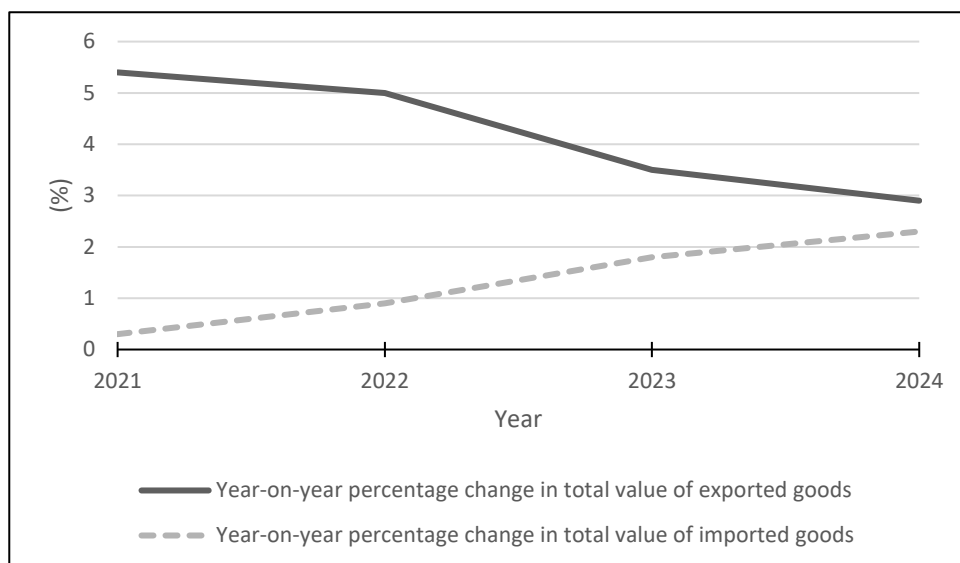
43. The diagram below shows the market of wheat in a small open economy.



P_w is the international price of wheat and the import quota imposed by the government is $(Q_2 - Q_1)$ units. If the demand for wheat increases,

- A. the domestic price of wheat will remain unchanged.
- B. the total revenue of domestic producers of wheat will increase.
- C. the international price of wheat will increase.
- D. the import volume will increase.

44. The diagram below shows the percentage changes in the total value of exported goods and the total value of imported goods in an economy. The economy recorded a trade surplus in 2021.



According to the above diagram, from 2021 to 2024, the economy's

- A. invisible trade balance increased.
 - B. total value of goods exported decreased.
 - C. current account balance increased.
 - D. trade surplus increased.
45. The following table shows the change in the exchange rate between the Canadian dollar (CAD) and Hong Kong dollar (HKD).

Date	Exchange rate
31 October 2023	CAD 1 = HKD 5.66
31 October 2024	CAD 1 = HKD 5.58

On 31 October 2023, Mr. Cheung exchanged HKD 100,000 for Canadian dollars. Later, he exchanged the amount back to Hong Kong dollars on 31 October 2024. Suppose Mr. Cheung needs to pay 1% of the transaction amount as a handling fee for each transaction. From the above transactions, Mr. Cheung _____.

- A. lost about HKD 585
- B. lost about HKD 1,413
- C. lost about HKD 3,375
- D. gained about HKD 1,434

END OF PAPER